

How do German works councils function in labor relations?

What is IG Metall's strategy to gain control at Tesla?

Why is this election significant for Tesla's operations?

The current council is dominated by non-union members. The IG Metall union is fielding 116 candidates in a bid to win a simple majority - 19 of 37 seats. The union secured 16 in the last election two years ago, when the council had 39 seats.

IG Metall has accused management of stoking anti-union sentiment. Plant director Andre Thierig has countered that the union is focused solely on boosting IG Metall membership.

"We are very satisfied with our election campaign. We are running with a great team and our issues are clearly striking a chord with our colleagues," IG Metall's lead candidate Laura Arndt said in a statement to Reuters.

Works councils, elected by staff, are a cornerstone of German labour relations, representing employees in talks with management.

IG Metall dominates councils across German carmakers - including Volkswagen, BMW and Mercedes - but remains the underdog at Tesla, whose CEO Elon Musk is outspoken in his criticism of unions.

Tensions peaked in February when Tesla accused an IG Metall trade unionist of secretly filming a works council meeting and filed a criminal complaint.

IG Metall dismissed the allegation as a "calculated lie".

(Reporting by Rachel More and Christina Amann. Editing by Mark Potter)

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Volkswagen workers are resisting plans to cut a further 50,000 jobs - Jens SCHLÄPPIER / AFP via Getty Images

Volkswagen's profits have crashed by a third as its boss warned the carmaker faced "unprecedented risk".

Oliver Blume said a turnaround plan that [could involve laying off up to 100,000 workers](#) was starting to bear fruit, but that the company still faced an "extremely challenging" situation.

VW profits plunged 32.9pc in the second quarter compared with a year earlier. At the same time, it warned sales were no longer expected to grow this year and predicted they could even fall by 3pc.

The grim results come as the chief executive battles to convince sceptical unions and regional government officials in Germany to back his proposals to get the carmaker back on track.

VW's woes are being driven by tough competition from cut-price Chinese rivals – both in Asia and Europe – as well as turmoil in the US, where Donald Trump's tariffs have driven up costs.

China was once the most profitable market for the group, which also includes Audi, Skoda, Porsche and Lamborghini, but Mr Blume admitted sales there had "slumped" by 20pc in the third quarter.

He insisted VW's turnaround plans were "delivering results" but warned: "At the same time, the environment for the automotive industry remains extremely challenging: geopolitical crises, trade conflicts, high regulatory requirements, volatile markets and intensified competition.

"In an unprecedented risk scenario, Volkswagen Group enters the next phase of its transformation – from a position of strength and with a clear understanding of the opportunities ahead."

VW said profits for the three months to the end of June were €1.5bn (£1.3bn), down from €2.3bn during the same period in 2025. That was despite sales ticking up from €80.8bn to €82.4bn.

The drop in profits included a €500m charge booked for stopping production of the electric ID.4 car in the US, where President Trump has wound back support for electric cars.

Mr Blume has repeatedly warned that VW's current headcount of more than 650,000 was "no longer sustainable" and that the car maker must slim down to become competitive again.

In a letter to staff earlier this month, Mr Blume warned that to make the necessary savings either 50,000 more jobs would have to go – on top of 50,000 already being cut – or workers would have to accept pay cuts again.

VW has also revealed plans [to axe half its car models](#) in a drive to cut costs.

Factories in Emden, Hanover, Zwickau and Neckarsulm, which churn out some 750,000 cars a year between them, are also under threat of closure.

Mr Blume has stressed he is holding out for "smart solutions" to keep the plants running, with the company considering using them to build defence equipment. However, Blume's proposals have rankled union officials and politicians from the company's home state of Lower Saxony who sit on its powerful supervisory board.

Members reportedly rejected his restructuring plan by 12 votes to seven this month amid major demonstrations by workers.

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